

Notice Period Policy

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DISCLAIMER: This is a sample/demo HR policy document for testing purposes only. Not a real company policy.

1. Purpose

This Notice Period Policy defines the notice periods applicable to employees and ACME Corporation upon resignation or termination of employment. The policy ensures a smooth transition and continuity of business operations.

2. Employee Notice Period (Resignation)

When an employee wishes to resign, the following notice periods apply based on the employee grade:

Grade 1-3 (Junior / Associate): 30 days (1 month)

Grade 4-6 (Senior / Lead): 60 days (2 months)

Grade 7-9 (Manager / Senior Manager): 90 days (3 months)

Grade 10 and above (Director / VP / C-Suite): 90 days minimum, or as specified in the employment contract.

Notice periods begin on the date the written resignation is submitted and accepted by HR.

3. Employer Notice Period (Termination Without Cause)

When ACME Corporation terminates an employee without cause, the following notice periods apply:

Employees with less than 1 year of service: 30 days or payment in lieu.

Employees with 1-3 years of service: 60 days or payment in lieu.

Employees with more than 3 years of service: 90 days or payment in lieu.

4. Notice Period Buyout

Employees who wish to leave before completing the full notice period may apply for an early exit by paying a notice period buyout to the company.

The buyout amount is calculated as: $(\text{Basic Salary} / 30) \times \text{Number of days not served}$.

Buyout requests must be submitted in writing to HR and require approval from the department head and HR Director.

5. Garden Leave

ACME Corporation may place an employee on garden leave during the notice period. During garden leave, the employee remains employed but is asked not to attend work. The employee continues to receive full salary and benefits.

Garden leave is typically applied for employees in senior or sensitive roles.

During garden leave, the employee may not commence employment elsewhere.

6. Knowledge Transfer Obligations

During the notice period, employees are required to document ongoing projects, workflows, and key contacts, provide training to the replacement employee or team member, return all company property (laptop, access cards, keys) to IT and Admin, and ensure all company data is transferred to appropriate shared drives.

Failure to complete adequate knowledge transfer may impact the Full and Final (F&F;) settlement.

7. Immediate Termination (For Cause)

In cases of serious misconduct as defined in the Employee Conduct Policy, ACME Corporation reserves the right to terminate employment with immediate effect and without notice. No payment in lieu of notice will be provided in such cases.

Examples of serious misconduct include fraud, theft, workplace violence, and gross insubordination.

8. Full and Final Settlement

The Full and Final (F&F;) settlement will be processed within 45 working days of the last working day, subject to completion of all exit formalities.

F&F; includes: salary for days worked, encashable leave balance, approved reimbursements, and gratuity (as per the Payment of Gratuity Act, for employees with 5+ years of service).

F&F; will be withheld or adjusted for outstanding loans, notice period buyout, or any dues owed to the company.

9. Non-Compete and Non-Solicitation

For a period of 6 months following the end of employment, employees in Grade 7 and above agree not to join a direct competitor of ACME Corporation without prior written consent, or solicit ACME Corporation clients or employees for the benefit of a competing business.